



Deutsche Bank  
Research

# How the war has disrupted markets and economies

April 2026

Luke Templeman | Galina Pozdnyakova

**Deutsche Bank Research Institute**

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.



Deutsche Bank  
Research Institute

**Summary: it may be too early to call the end of the conflict with Iran despite the encouraging signs. Thus, we are watching for how resilient the disruption to the world's economies and markets will be for the rest of 2026.**



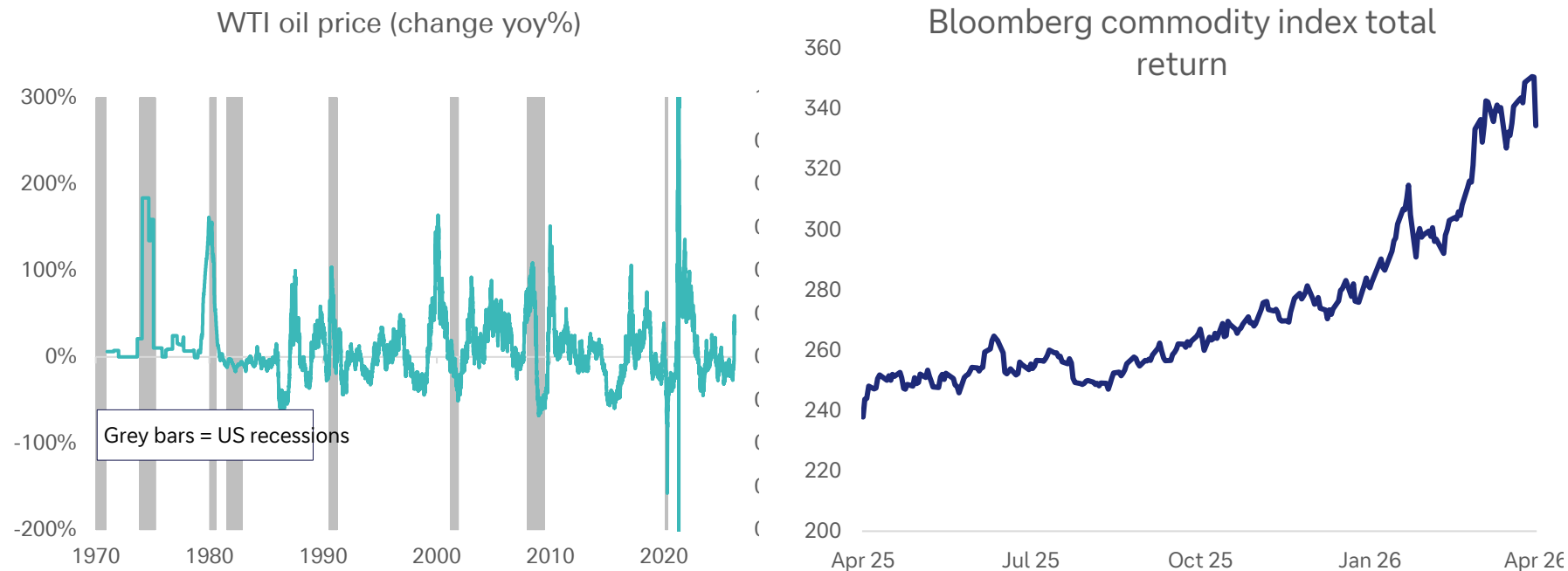
### A reset? Or the return to a dangerous status quo?

- Following the announcement of the two-week conditional ceasefire between the US and Iran overnight, attention is now turning to exactly how oil tankers might begin to transit the Strait of Hormuz.
- There are inconsistencies in the logistics with Iran claiming the US has accepted its control over the strait and that transit will only be allowed under the “supervision” of its armed forces and subject to “technical limitations”.
- There is also a real fear that the broader situation may return to the status quo of US sanctions and fruitless talks while a reinvigorated Iran restarts its nuclear programme. That will be a key discussion point ahead of likely US-Iran negotiations on Friday in Pakistan.
- On a day-by-day basis, there are deep uncertainties as to how long the ceasefire can hold.
- Upcoming negotiations will be difficult given Iran has claimed that the US will offer sanctions relief and security guarantees, things that may not eventuate in part or full. The most important demand in Iran’s ten-point plan, its right to enrich uranium, also crosses a US red line.

# It wasn't just oil – other commodities have surged and stayed high



The spike in oil prices (yoy) was less pronounced than some prior episodes that coincided with US recessions



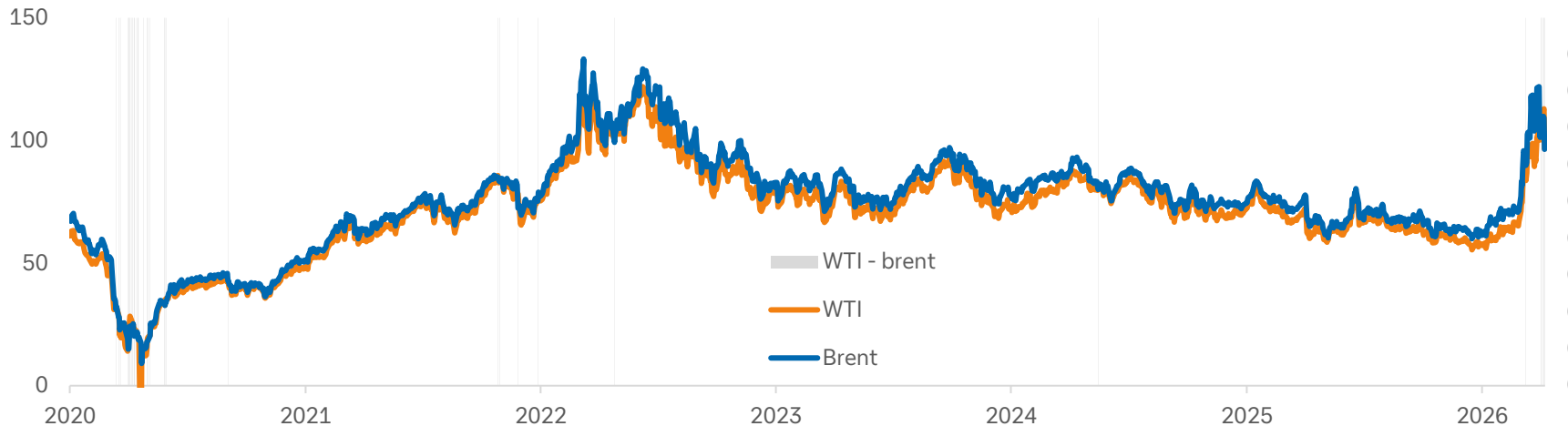
Source: Bloomberg Finance LP, Deutsche Bank.

## WTI oil prices jumped above brent – that is extremely unusual this decade



WTI's one-month delivery schedule (compared with two months for brent) was a key reason why traders moved to WTI contracts

WTI and Brent prices (\$)  
(shaded areas indicate periods where WTI > Brent)



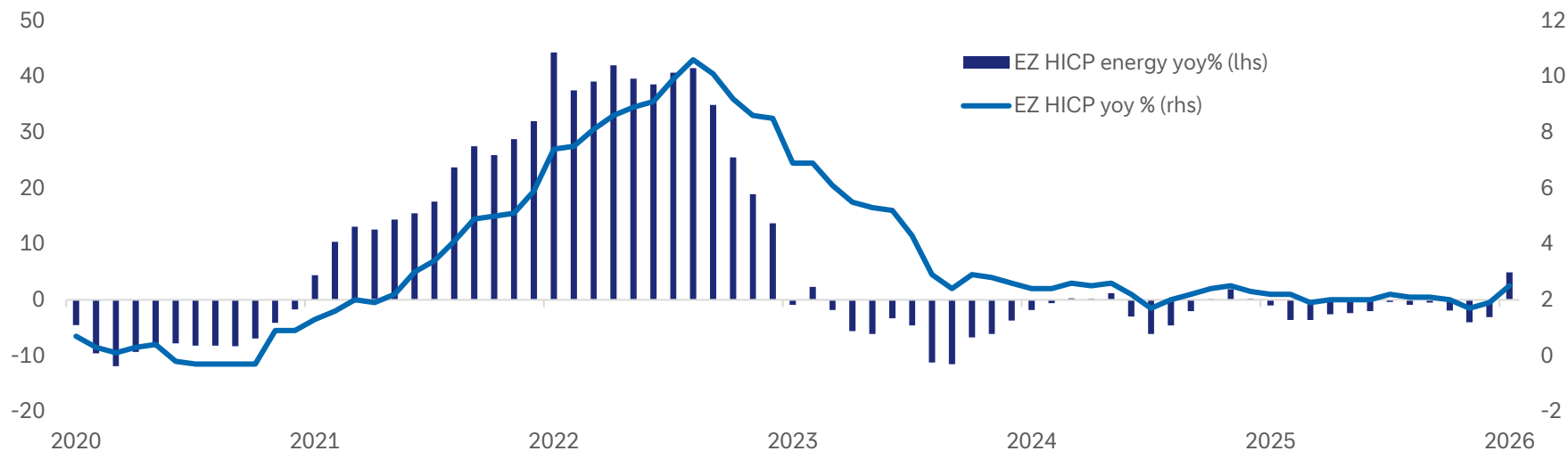
Source: Bloomberg Finance LP, Deutsche Bank.

## European inflation has climbed, however, the energy shock is so far nothing like that around the time Russia invaded Ukraine.



Once April's figures come in, they seem on track to show a continuing upwards trend in energy inflation. But Europe's dependence on the Middle East does not compare with its dependence on Russia five years ago.

Eurozone inflation (HICP)



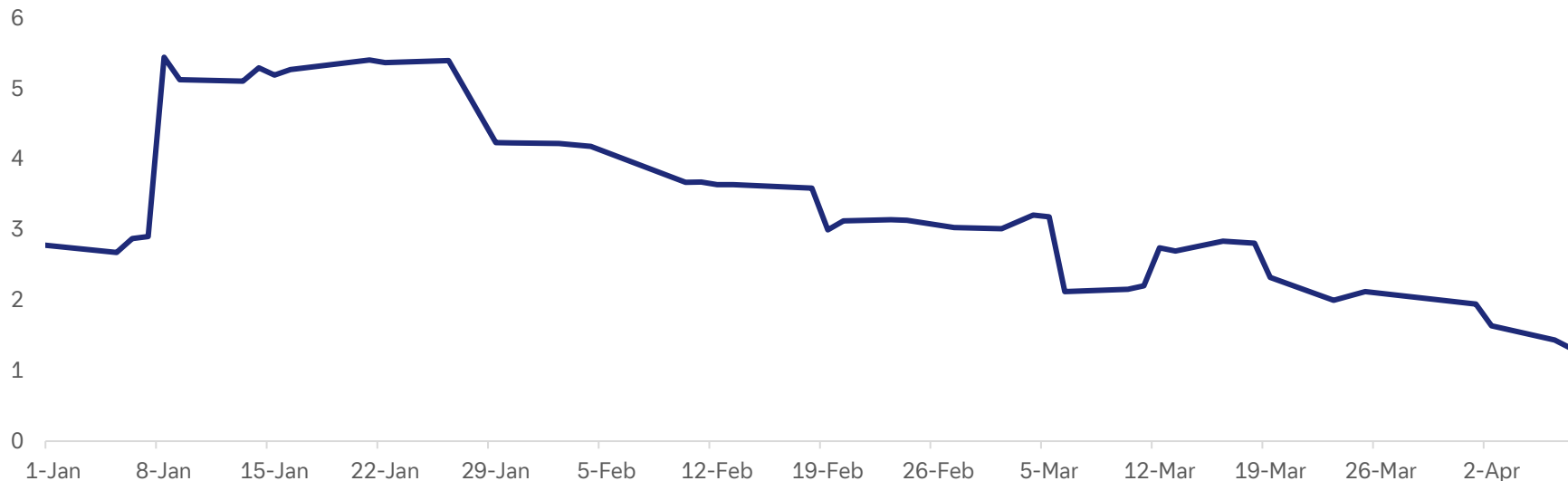
Source: Bloomberg Finance LP, Deutsche Bank.

## The war has exacerbated the falling trend for US growth forecasts



Economic growth expectations were falling before the war in Iran started. However, are more data points are released this month some will certainly put downwards pressure on growth estimates.

Atlanta Fed GDPNow forecast for Q1  
(quarterly % change)



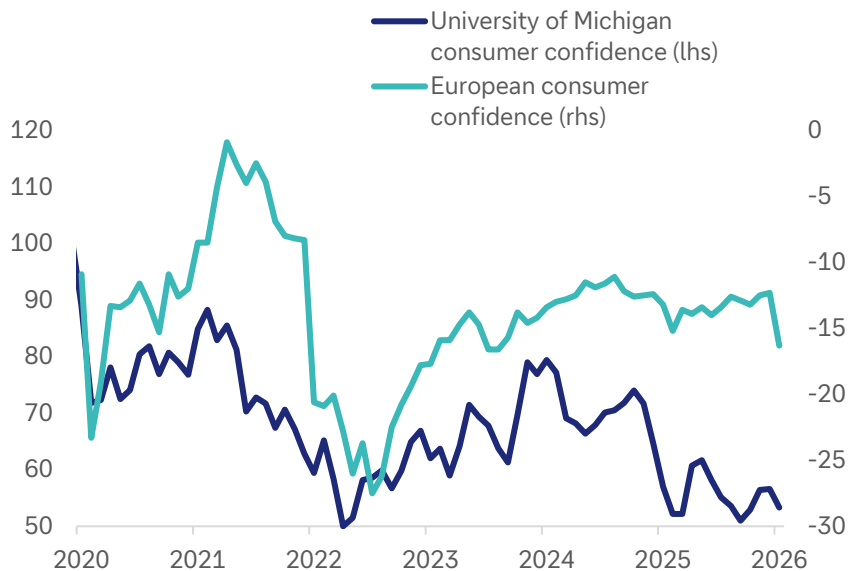
Source: Bloomberg Finance LP, Deutsche Bank.

## The drop in consumer confidence might be expected. How long it lasts will be influenced by the resulting inflation.



Consumer confidence is, at least partially, dependent on whether the uptick in input cost inflation remains robust. That will also be influenced by how inflation filters through to consumers. Some corporates may decide to absorb the costs themselves.

### US and European consumer confidence



### US ISM services prices paid

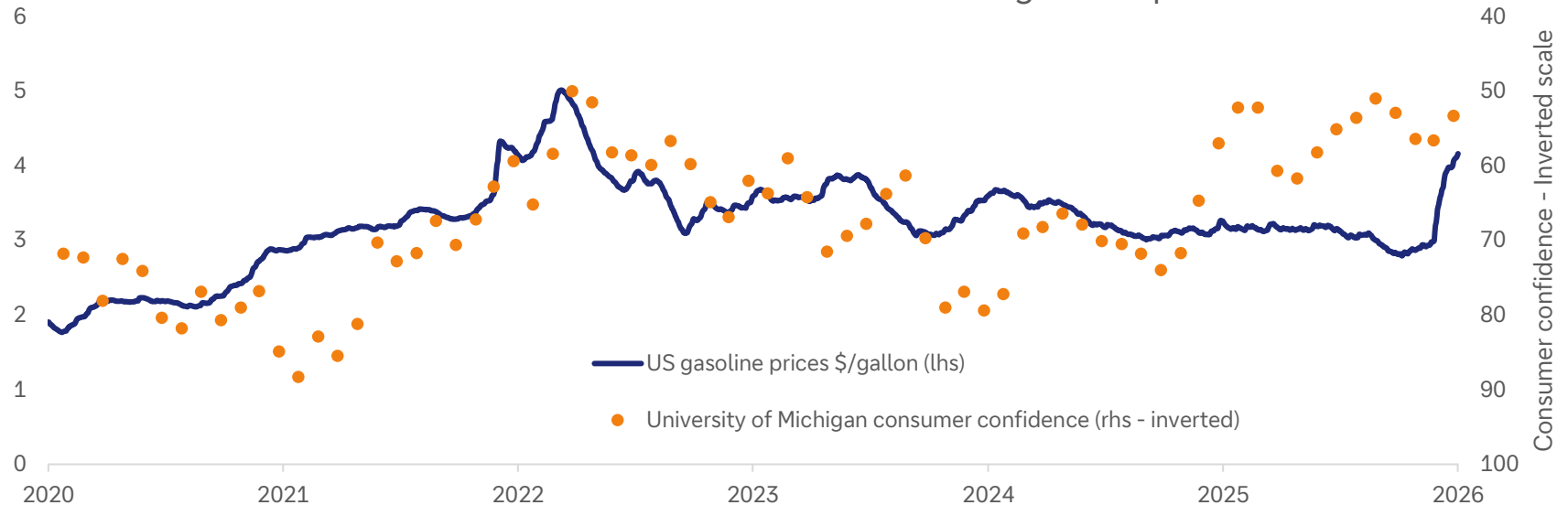


Source: Bloomberg Finance LP, Deutsche Bank.



It is an inescapable reality that people care about the price they pay at the pump. That has a disproportionate impact on their overall confidence in the economy and feeds through to their voting intentions.

### Consumer confidence tends to move with gasoline prices



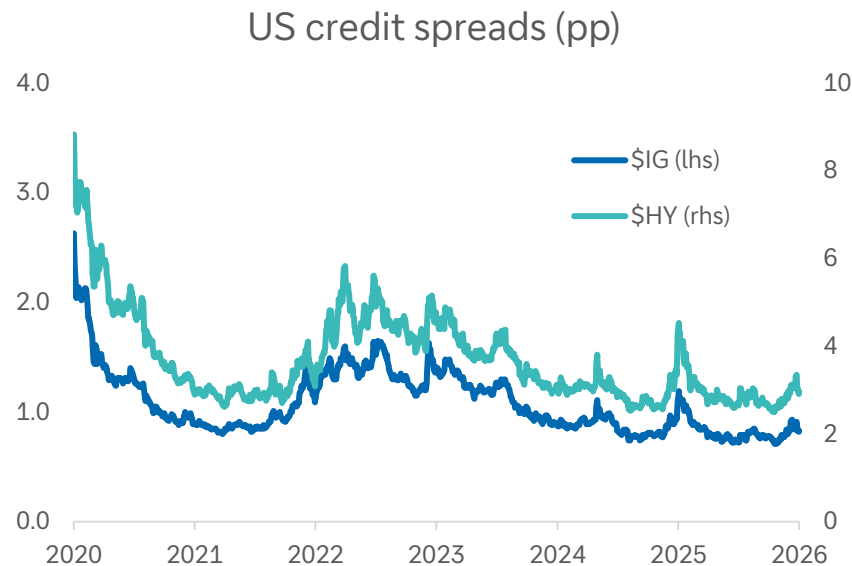
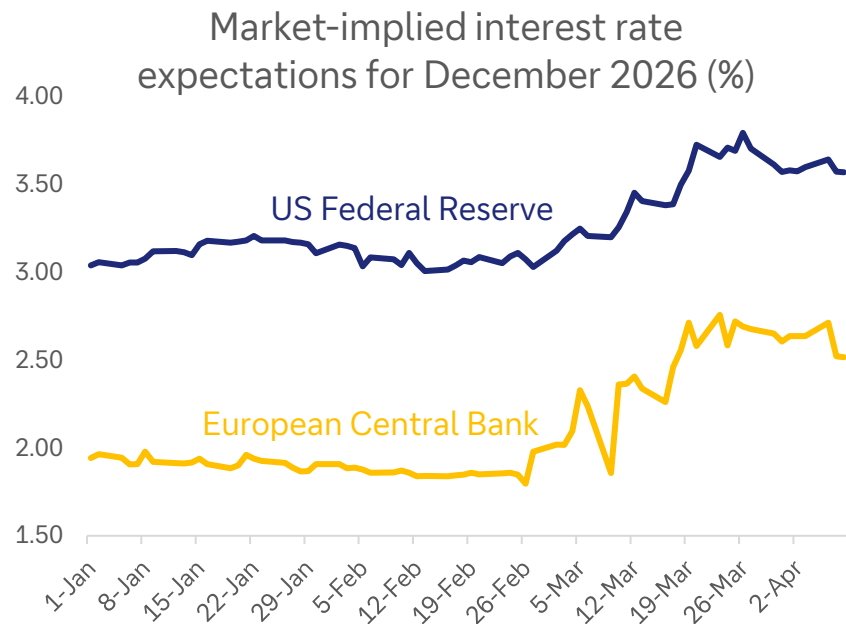
Source: Bloomberg Finance LP, Deutsche Bank.



# Interest rate expectations have jumped



Credit spreads ticked upwards as the war commenced, but they weren't too concerned. Even as private credit and software worries continued to plague the market, and especially high-yield, investors seemed relatively sanguine about credit quality. The large amount of liquidity in the market certainly helps



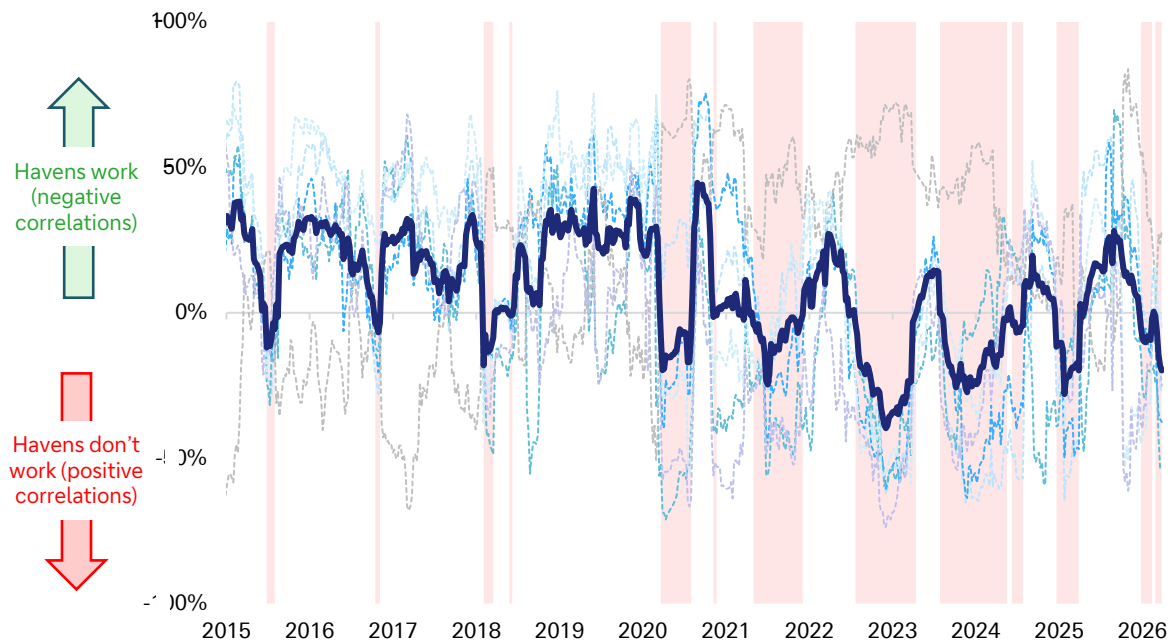
Source: Bloomberg Finance LP, Deutsche Bank.

# Haven assets were little help during the Iran war – a 2020s trend

Our 'haven indicator' shows that traditional havens have been largely absent in the 2020s



Our haven indicator (20-wk rolling, avg across pairwise correlations with S&P 500)



Source: Bloomberg Finance LP, Deutsche Bank.

## How our haven indicator works

We take six traditional haven assets:

1. Gold
2. US dollar
3. Japanese yen
4. Swiss franc
5. 10yr treasury
6. 10yr bund

We then analyse their individual correlation with the S&P 500 (our proxy for 'risk') over time. Finally, we take an average of the six correlations.

The red shading indicates periods where the average haven **did not work** (ie. positively correlated with the S&P 500). This includes:

1. Iran war in 2026
2. US tariff crisis in 2025
3. Peak fear about interest rate rises in 2022
4. Initial covid turmoil in 2020

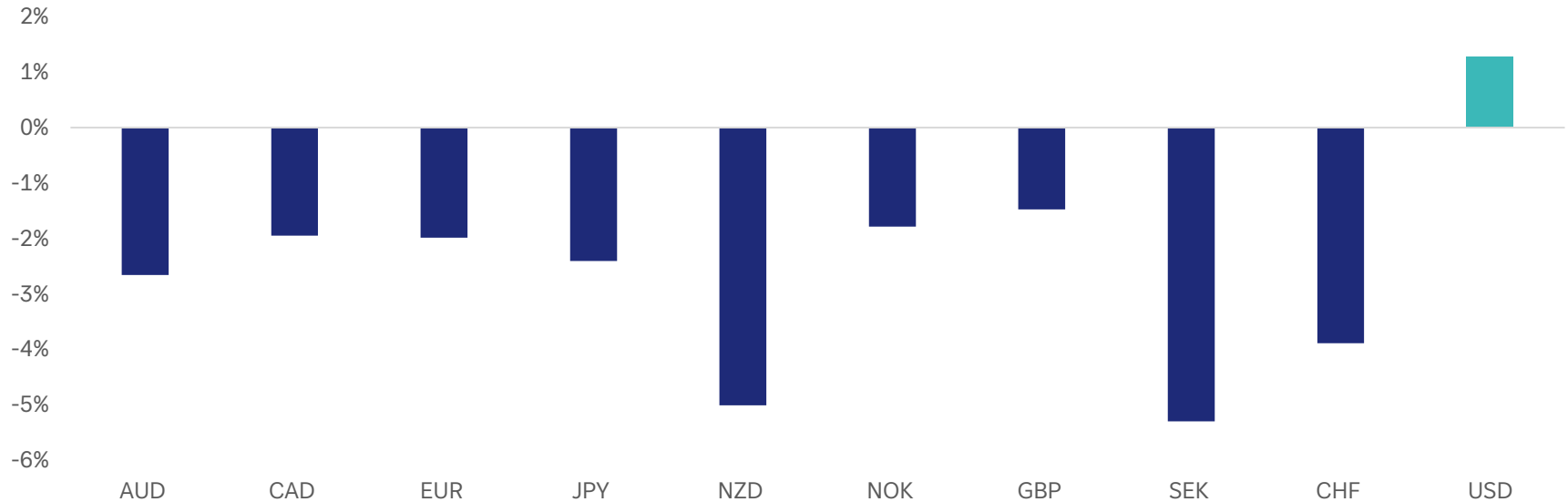
Deutsche Bank  
Research Institute

# The US dollar was an exception



There was a sharp dichotomy between the risk-off period during the Iran war and the risk-off period during the tariff crisis in 2025. This time, investors were content with the safety of the US dollar. That was no doubt influenced by the fact that a kinetic conflict presented a different type of risk-off profile to the economic challenges last year.

## G10 currencies during the Iran conflict

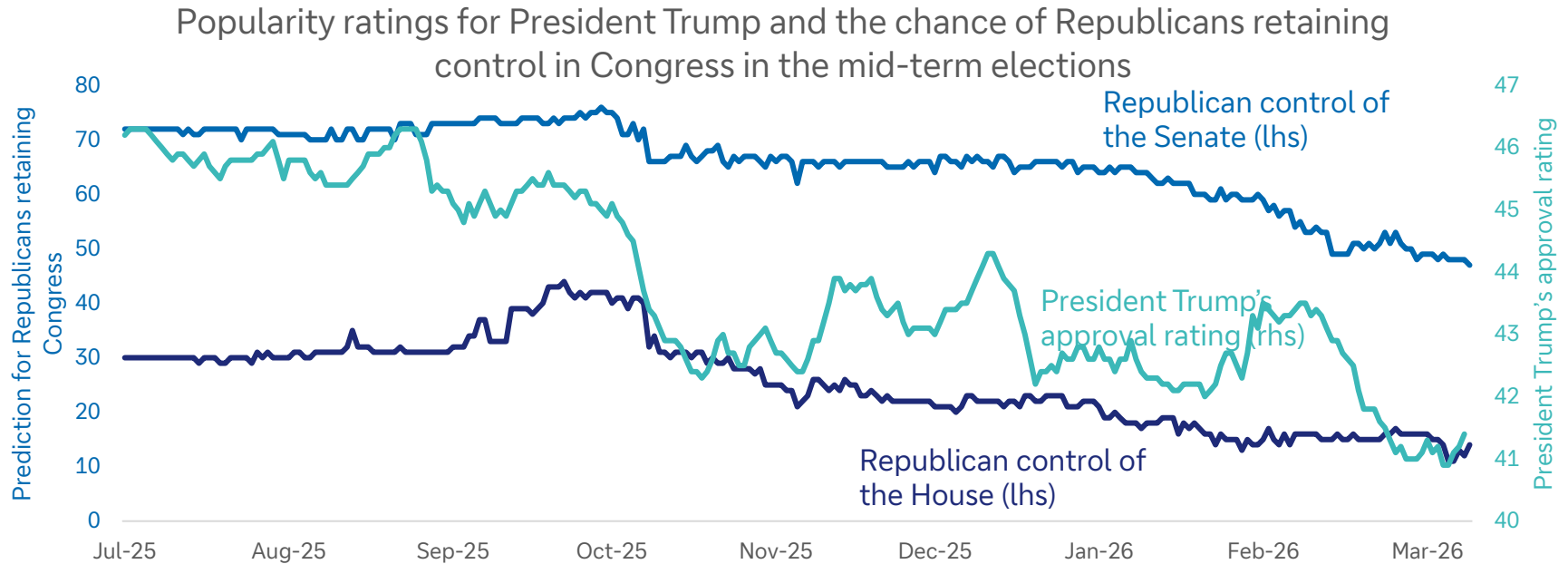


Source: Bloomberg Finance LP, Deutsche Bank.

# The political cost



President Trump's approval rating, and the estimate of the Republicans holding the Senate, have fallen during the last five weeks.



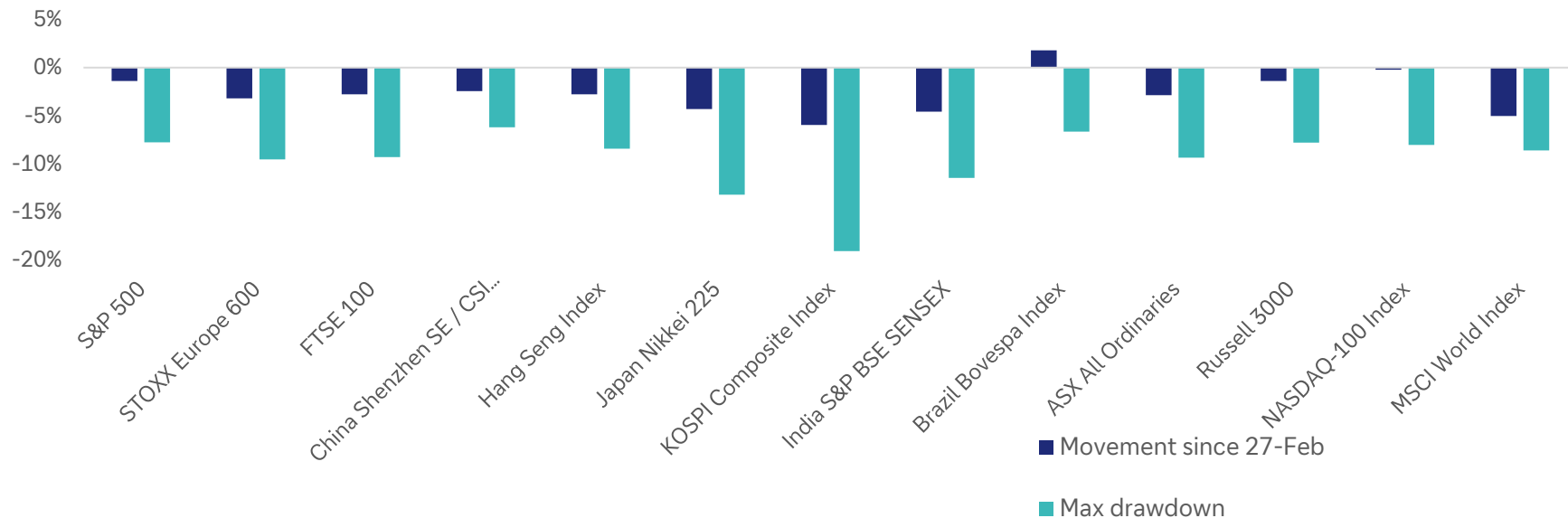
Source: Bloomberg Finance LP, Deutsche Bank.

## Global equities – most were relatively stubborn considering the severity of the closure of the Strait of Hormuz



Many investors have learned the lessons of several geopolitical shocks in the 2020s and were expecting a rapid rebound. It may be too early to be quite so optimistic.

### Movements in equity indices since 27-Feb



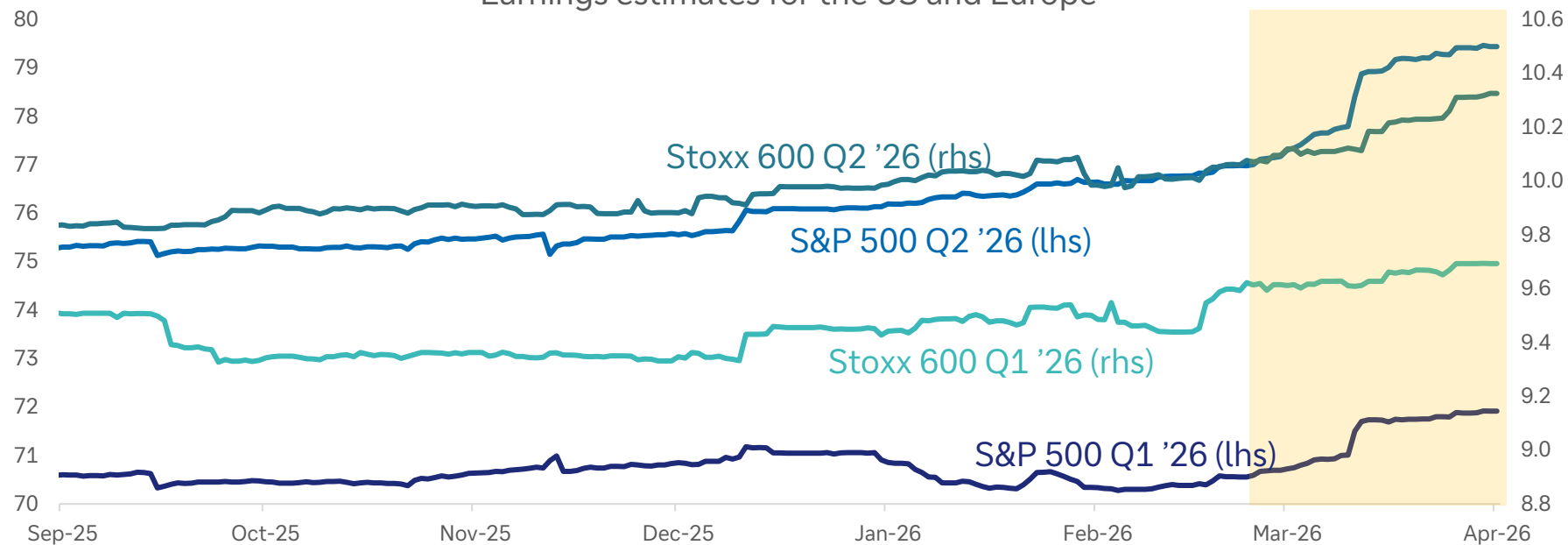
Source: Bloomberg Finance LP, Deutsche Bank.

## Earnings estimates have stayed strong despite the energy shock



It appears many investors have been reluctant to price in too much downside into corporate earnings until they actually see the financial impact

### Earnings estimates for the US and Europe



Source: Bloomberg Finance LP, Deutsche Bank.

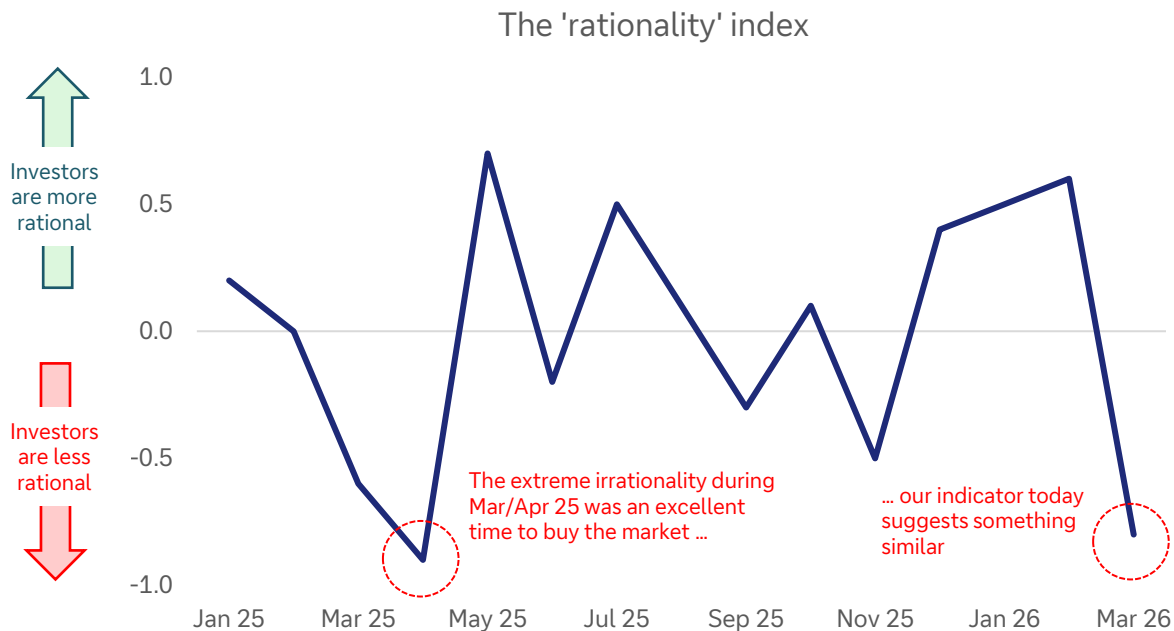
# Are investors rational? During the thick of the crisis, our indicator said “No”

Investors can be good at analysing markets during normal times and terrible during periods of uncertainty



Our dbLumina gauge indicates investors have been irrational during market drops and periods of geopolitical tensions

What does it mean to be ‘rational’



## March 2026 Extreme Irrationality (Panic/Fear):

The escalation of the Iran conflict led to a spike in oil prices and a broad market sell-off, characterized as a "stagflationary shock". This overwhelming fear, with investors largely selling off risk assets, indicates a highly emotional and irrational response, despite brief moments of optimism.

## Fear Indicators:

Sharp, disproportionate reactions to threats, widespread sell-offs on announcements, panic, flight to safety beyond what might be fundamentally warranted, strong emotional language in descriptions (e.g., "roiled," "plunge," "blistering sell-off," "panic selling,").

Source: dbLumina, Deutsche Bank.

# The impact of four market-moving emotions: fear, greed, euphoria and anxiety

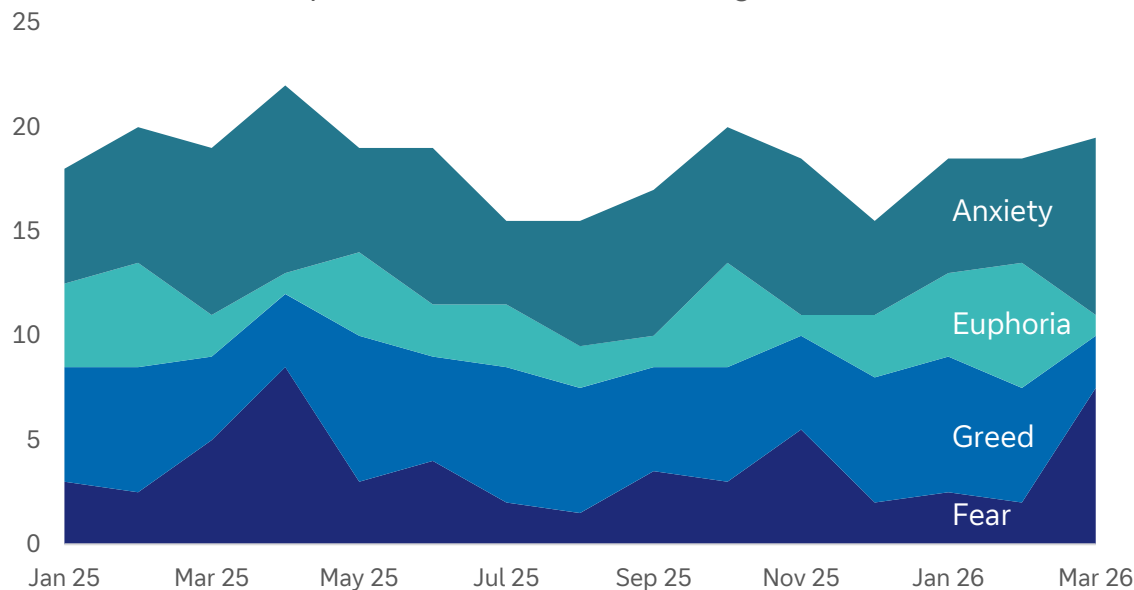
dbLumina tells us that anxiety and greed can go hand-in-hand even as fear and euphoria wax and wane.



Anxiety and fear ruled Q1

Status-quo bias is strong. That is creating more market volatility

The impact of investor emotions on global markets



Source: dbLumina, Deutsche Bank.

Investors have been reluctant this decade to consider the upside and downside before the event. So, when something 'bad' happens, market drops can be more aggressive than expected.

Some examples:

1. Demography and fiscal largesse is slow moving and predictable
2. Rush to price in the downsides of tech disruption
3. Fear of considering sovereign risk
4. Fear of underperforming peers is greater than the desire to beat them
5. Unwillingness to price in the upside of iterative technology improvements
6. Narrow vision of what globalisation is and the fear that it has peaked





## Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.